

Issues '96

A Guide to Public Deliberation

IN JANUARY, A FIRST-OF-A-KIND EVENT called the National Issues Convention will kick off the 1996 presidential campaign. The Issues Convention provides an occasion for a cross-section of the American public to grapple with key issues by engaging in serious dialogue with each other and with presidential candidates.

Think of it as a town meeting in which the entire country gathers in a single room to deliberate about pressing concerns and offer its considered judgments.

Thanks to the combined efforts of the University of Texas, the Public Broadcasting Service, and a dozen other organizations that have contributed their energy and resources to this nonpartisan event, 600 Americans will gather in Austin beginning on January 18. The individuals invited to this unique event are a representative sample of the American electorate, randomly chosen by the National Opinion Research Center. On January 20 and 21, delegates will be joined by presidential candidates, who will respond to questions from the delegates and talk about the

issues with them. The Public Broadcasting Service will cover the proceedings in a three-part special.

The purpose of organizing the National Issues Convention was to create a model that

others can replicate, an alternative to sound-bite democracy. When delegates are polled at the end of the convention, the results may suggest what the American electorate would think if most people were immersed in an intensive deliberative process.

Whether you are one of the citizen delegates at the national meeting in Austin or whether you take part in local forums convened as part of this nationwide event, this guide—prepared by Public Agenda, a nonpartisan organization devoted to research and public education—provides a place to start.

Democratic politics is supposed to be deliberative. It presumes that citizens think carefully about public problems. It also presumes a willingness to assess what the candidates are saying, to weigh different points of view, and think realistically about the costs and consequences of different courses of action. Ideally, voting is the result of such deliberation. Before stepping into voting booths in November, we need to come together to make up our minds about what kind of community and country we want.

Key Issues

During every presidential campaign, dozens of public problems clamor for top billing. As a practical matter, however, we need to focus on a few key issues.

Public Agenda began the process of identifying key issues by consulting recent studies of public sentiments about the nation's pressing problems. We consulted with hundreds of moderators and participants in the National Issues Forums, a nationwide nonpartisan network of locally-initiated forums. It was not simply a matter of choosing top-of-the-agenda concerns. We also tried to identify issues that citizens are having a

hard time sorting out for themselves, issues about which presidential candidates and the American public disagree, issues where leaders need a better sense of what course of action most Americans favor. Following this process, we chose the issues addressed in this guide.

The Quality of Public Conversation

Our main goal in preparing this guide was to stimulate fresh dialogue about the nation's problems. We need to

move beyond the partisan terms and shopworn phrases that so often characterize political discussion. This guide, which was reviewed by a distinguished bipartisan panel (see back page), frames discussion by presenting a map of each issue consisting of three directions for public action. Think of them as voices in a dialogue. None of the perspectives corresponds to a single legislative proposal or party platform. Each is a distinctive diagnosis that leads to a different set of prescriptions about what should be done.

After reflecting on these different perspectives, you may decide to combine elements of several of them. Still, since they lead to different courses of action, choices need to be made among them.

The kind of democracy we are able to maintain depends on the quality of the public conversation we sustain. This guide is an invitation to public deliberation, a framework for talking together about some of the nation's pressing problems.



Think of it as a
town meeting
where the entire
country gathers
to discuss
pressing public
concerns.

**The
National
Issues
Convention**

The University of Texas at Austin

January 18-21, 1996

Prepared by
Public Agenda

for the **National
Issues Convention**

Mission Uncertain

Reassessing America's Global Role

Suddenly, and to worldwide applause, the Berlin Wall collapsed in 1989 and the Soviets embraced democracy and capitalism. As the dust settled, the foundation for a half-century of U.S. foreign policy disappeared as well. During the Cold War, foreign policy focused its resources on containing communism and deterring nuclear war



with the Soviets – a mission that cost \$12.3 trillion (in today's dollars) and nearly 90,000 American lives on Korean and Vietnamese battlefields.

No longer a Cold Warrior, the United States does not have to worry about containing communism or a nuclear Armageddon with the Soviet Union. What does America

have to worry about now? What are our opportunities? And what goals should we pursue abroad?

There are many ideas, but no consensus among Americans or our leaders. Yet there is widespread agreement that it can be wasteful and dangerous to conduct foreign affairs without guidelines that have popular support. "The lack of a broad vision for American policy after the Cold War is a very serious problem," half of 350 leaders in business, politics, and community affairs told Public Agenda in a survey conducted in February and March, 1995.

Illustration: David Gothard

Issue at a Glance

Why is this a key issue in 1996?

The role America plays in the world affects Americans in the most direct and significant ways. Different roles involve different levels of spending – and higher or lower taxes. Different roles affect U.S. businesses here and abroad – and healthy businesses provide jobs. And different roles involve different military strategies – and more or less risk for the lives of American soldiers.

As it is, the United States does not have a set of foreign policy goals that command widespread public support. Instead, the United States has to create a new role, and justifications for it, with every new international crisis. The result is global uncertainty – in how the U.S. will respond to crises and in how Americans will respond to government decisions. Today, many Americans wonder if U.S. policies are inconsistent or outdated. Why, for example, does the U.S. continue to ban American trade with communist Cuba while trading extensively with communist China? Why intervene in Bosnia's ethnic conflict, but not in Rwanda's? Why provide any foreign aid when almost one in four American children lives in poverty?

Where do we go from here?

Americans have the welcome opportunity to wipe the slate clean of Cold War priorities and draw up a new list. Americans differ on what the U.S. must do to protect and enhance our way of life. Americans also differ on the nature of our responsibilities to other nations. The nation's new role must also reflect core American values, which often conflict with one another. These values include self-reliance, democracy, human rights, charity at home and abroad, and loyalty to allies.

What are some possible roles for the U.S.?



What are the underlying tensions?

There is no consensus about what America's new role should be, and most political debates fail to address America's purpose abroad. This guide tries to advance the public discussion by defining three options based on public statements by experts and leaders as well as public concerns and core values.

One perspective says the Cold War is over and the nation can safely focus on domestic needs. This is not just an opportunity; it's a necessity because the nation's strength rests on its economic strength. The U.S. must remain militarily strong, but it does not have to play the role of global cop nor pay for the defense of our wealthy allies.

A second perspective sees the world as a dangerous place, ready to spin out of control. To guard against nuclear proliferation and to make sure that regional and civil wars do not engulf U.S. allies or interests abroad, the U.S. must remain active in global affairs and continue providing leadership. The U.S. is the reigning superpower, and no other nation has the moral authority or military might to do this job.

A third perspective asserts that the democratic principles that make the U.S. so special must also guide the nation's foreign policy. America's global role, according to this view, is to promote democracy and protect human rights. Idealism also pays important dividends: spreading democracy and capitalism opens new markets for U.S. products and, ultimately, spreads peace.

Choosing a new role for the United States is difficult because our resources are limited. We must establish priorities and stick to them. The challenge is to find a role with the most opportunities and most acceptable costs and tradeoffs. If, for example, Americans decide that the United States should scale back its role abroad, then the U.S. would be less able to respond to humanitarian emergencies or to promote economic development in struggling democracies. Similarly, if the U.S. were to pursue a very active global agenda, there would be fewer resources available for domestic needs.



An era ends with the removal of Lenin's statue in East Berlin.

Patrick Piel/Gamma Liaison

Key Information

You don't need to be a foreign policy expert to make an important contribution to this discussion. But you do need to know a few facts, terms, and trends.

Key Trends

Widening identity crisis The U.S. is not alone in searching for a new role. No longer constrained by Cold War rules, many nations are jockeying for new positions in a world where politics, trade, communications, and national borders have changed very rapidly.

Fewer troops The military budget has declined 25 percent, from \$338 billion in 1990 to \$252 billion in 1995, according to the Pentagon. Current budgets include spending about \$130 billion a year in Europe and Asia to protect U.S. interests and those of our allies.

Declining foreign aid The U.S. spent about \$17 billion on foreign aid in 1994, or about one percent of the federal budget. In the 1950s and 1960s, foreign

aid represented more than three percent of the federal budget, and in 1949, it had reached a high of 16 percent of federal spending.

Expanding trade Increases in U.S. exports account for 60 percent of the nation's economic growth since 1988, according to the U.S. Department of Commerce. About one in five American jobs relies in some way on foreign trade. In 1994, U.S. exports increased by 10 percent, to a record \$502.8 billion, but this improvement was offset by a 13.5 percent increase in imports, which also set a record at \$669 billion.



Troops exercise in Persian Gulf, October 1990.



Signe Wilkinson/Cartoonists and Writers Syndicate

Key Terms

U.S. role During the Cold War, there was broad public support for the U.S. role as the leader of the free world working to contain communism and deter nuclear war with the Soviets. Now, the U.S. has no comparable mission that is backed by the public.

Foreign policy The phrase conjures up full-scale military operations, but most tools of foreign policy are peaceful. They include such things as offering economic assistance or imposing sanctions; broadening or restricting trade rights; offering or withholding development assistance; and using diplomatic influence to support good causes or condemn bad ones.

Policymakers For the most part, the president makes foreign policy decisions and Congress has an opportunity to react. This process works best when the government is advancing clear goals that have widespread public support. The process does not work well when it is unclear what global role the public supports.

New world order The Persian Gulf War was an example of international cooperation, and there was a widespread expectation that it might lead to a new world order. The U.S. and the rest of the international community would share in the work and cost of maintaining global peace. But Iraq posed a unique threat, and no new order has emerged.

Stability The term generally refers to nations, democratic or not, that are at peace with other countries and face no major internal conflicts.

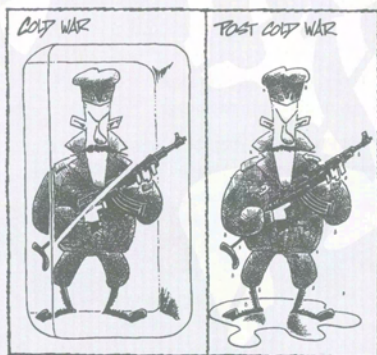
Ten Hot Spots: Many Crises, Many Roles for the U.S.



Mission Uncertain

Reassessing America's Global Role

The National Issues Convention is nonpartisan. It encourages Americans to think about the nation's future in a fresh and productive way. These two pages present a "map" of one issue – America's global role – and three possible directions for public policy. Each perspective reflects a distinctive set of values. It begins with a specific diagnosis of the problem and leads to a specific prescription for public policy. These perspectives are not necessarily mutually exclusive. The best solution may be to combine aspects of several approaches. In important respects, however, these perspectives point in different directions, and choices need to be made among them.



Bateau/Cartoonists & Writers Syndicate

Points to Consider

- Is it prudent for the U.S. to give up its role as world leader to concentrate instead on domestic concerns?
- Does the U.S. need to worry about deteriorating political situations abroad, and must it intervene to try to create stability?
- Can the U.S. possibly succeed in promoting democratic regimes around the world? Are all nations ready for democracy?

Costs and Tradeoffs

- Should we take care of our problems at home first EVEN IF we risk increasing the threats posed by political chaos elsewhere in the world?
- Should we act as the world's police EVEN IF that leads to long-term involvement and loss of American lives in conflicts abroad?
- Is it our moral duty to support democracy and human rights in other countries EVEN IF that limits our access to foreign markets?

#1 Put Domestic Needs First

The Cold War is over and it's safe for the U.S. to stop playing the role of global cop. After all, U.S. strength ultimately depends on the U.S. being economically strong. We must protect the nation's vital and immediate economic and security interests, and no more. Supporters of this choice insist that the U.S. cannot solve all the world's problems, and should not waste American lives and resources trying to do the impossible. For the first time in decades, the U.S. has the opportunity to concentrate its resources on domestic concerns such as improving the economy, creating jobs, fixing schools, and reducing taxes. After a generation of focusing on what needs to be done abroad, it is time to focus once again on very serious needs at home.

This Would Mean

- Foreign policy would serve domestic needs. U.S. foreign policy would limit itself to improving trade relations and opening foreign markets to U.S. exports.
- We would sharply decrease military spending because the U.S. has no powerful enemy. We would not intervene in distant civil wars or regional conflicts for, in any event, we cannot solve these problems. The U.S. would still remain the strongest military power, but would only defend vital and immediate economic interests. And by insisting that wealthy allies in Europe and Asia defend themselves, we would free up tens of billions of dollars a year for domestic purposes.
- We would stop funding expensive and ineffective foreign aid programs; this job is best left to multinational agencies so all members can share in costs and decisions. The U.N. should also have primary responsibility for trying to keep world peace.



Exports such as this McDonald's in China are vital to American strength.

Jeffrey Aaronson/Network Aspen

In Support

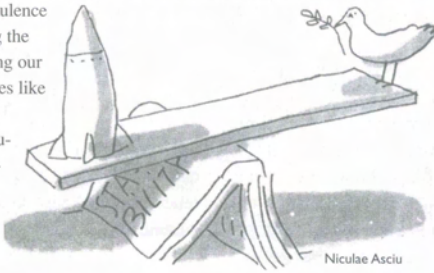
- Our domestic needs are more urgent than foreign problems.
- American strength abroad depends on its economic strength at home.
- The U.S. faces no powerful enemies, and should not pay for the world's defense.
- The U.S. must define its vital interests more narrowly, and do no more.
- The U.S. can't solve the world's problems and should not waste lives and resources trying to do the impossible.

In Opposition

- There is no conflict between conducting an active foreign policy and striving for prosperity at home. In fact, we need political stability abroad to open new export markets.
- The U.S. is not self-sufficient in such crucial resources as oil and consequently has a strong interest in pursuing an active role abroad.
- The military budget has already been cut by 25 percent since 1990, raising a concern about U.S. readiness – especially if the U.S. had to respond to two major military threats simultaneously.
- If the U.S. withdraws, human rights abuses and totalitarian governments would proliferate, ultimately threatening U.S. interests.
- The U.S. spends relatively little on foreign aid, which pays economic and security dividends by developing markets for U.S. exports and by helping peaceful democratic regimes.

#2 Keep a Lid on Chaos

The Cold War is over but the world remains a dangerous place, with rising concerns about nuclear proliferation and terrorism. The end of the superpower rivalry created power vacuums for tyrants like Saddam Hussein to exploit. The disintegration of the Soviet Union also unleashed ancient hatreds and ethnic conflicts. Such conflicts could escalate into regional wars, engulfing allies and drawing the U.S. into war. Political turbulence also disrupts trade, harming the U.S. economy and restricting our access to important resources like oil. Thus, supporters of this choice say, the nation's security is directly tied to political stability in many parts of the world. No other nation can provide global leadership: the U.S. is the only nation with the economic, military, moral, and political might to do the job. We must strengthen the military and the resolve to use it when necessary.



This Would Mean

- The U.S. would use its power and influence to deter aggression, enforce international law, and resolve ethnic conflicts that threaten world peace. The U.S. would increase its military strength to help NATO expand protection over newly created democracies in Central Europe. The U.S. would also try to maintain stability by supporting nondemocratic governments that maintain good relations with the U.S.
- The U.S. would provide humanitarian relief, but target it to countries where the U.S. is already engaged in a security mission. The U.S. would also expand foreign aid to former Soviet communists who are disarming war-heads.
- We would use the U.N. as a partner, but would not cede leadership to the U.N. when our forces or vital interests are involved.

In Support

- The threat of global chaos is real.
- We can prevent chaos by intervening early.
- If the U.S. withdraws, power vacuums will open and tyrants would threaten U.S. interests.
- No other nation can exercise global leadership, and the world needs a leader.
- U.S. prosperity requires global stability in an era where the U.S. economy is tied into the global marketplace.

In Opposition

- Playing the role of global cop will permanently entangle the U.S. in bloody and costly conflicts abroad.
- This choice reflects Cold War thinking and outdated military strategy.
- U.S. activism has not deterred many tyrants in the past.
- To promote stability, this choice would allow egregious human rights abuses to go unchallenged.
- This choice ignores nonmilitary threats such as global environmental problems.



#3 Stand Up for Our Ideals

Winning the Cold War was a historic victory for the core American principles of human rights, democracy, and market capitalism. The U.S. must continue to fight for our ideals – and not just for moral reasons. U.S. security would be endangered if fledgling democracies fail in places like the former Soviet Union and Latin America. Ultimately, supporters say, this perspective is the most practical way to promote world peace because democracies do not fight each other. Not incidentally, promoting democracy and market capitalism also helps trade by expanding markets for U.S. products. This is not a new role for America. After World War II, the U.S. helped build thriving democracies in Western Europe and Japan, now our allies and major trading partners. Democracy and market capitalism have been America's most successful export, and we should do everything possible to encourage democratic regimes worldwide.

This Would Mean

- The U.S. would be prepared to use force, if necessary, to deter antidemocratic forces and stop human rights abuses. The U.S. would intervene in ethnic conflicts and civil wars when it can protect human rights and support democracy. But in most instances, the U.S. would use economic or diplomatic tools to stop abuses and would always be ready with humanitarian aid.
- The U.S. would increase foreign aid, which is at a post-war low, to support new democracies in their transition to market capitalism. To fund this program, the U.S. would sharply reduce military spending on weapons that are no longer needed to fight communism.
- We would strengthen the U.N.'s role in enforcing law, and in promoting human rights and democracy.

In Support

- Our mission should be guided by our morals.
- It is a historic chance to advance democracy.
- Without U.S. support, new democracies may fail and become enemies again.
- Democracy promotes stability as democracies don't fight each other.
- Promoting democracy and market capitalism builds markets for U.S. exports.



Helping starving Somalis was the moral choice.

Jean Michael Turpin/Gamma Liaison

In Opposition

- This choice sets impossible goals. The U.S. could not afford to police all the human rights abuses in the world.
- This policy sounds idealistic, but it raises moral questions about whether we should risk U.S. lives to save the lives of others abroad.
- The U.S. has a poor record in spending foreign aid wisely.
- The U.S. should not make enemies trying to enforce human rights, especially when cultural differences fog this issue.

Pocketbook Pressures

What Should Be Done about Them?

Lack of growth in family income and what should be done about it occupies a prominent place on America's public agenda. As the 1996 campaign season begins, polls show that many Americans are pessimistic about the economy. At first glance, considering the signs of economic revitalization, this is a puzzling reaction. A few years ago, economic debate was driven by the fear that American firms were los-



ing the competitive edge in a cutthroat global economy. But that fear has subsided. As a result of a series of measures taken in recent years by American industries to cut costs and become more productive, the U.S. economy is more competitive. Many firms are showing healthy profits and hiring additional workers. The Swiss-based World Economic Forum recently concluded that our prospects

for economic success are better than those of any other industrial nation.

But there's a catch. In the past, economic growth usually led to higher income for most families. That is not happening today. While U.S. companies are prospering and many college-educated workers are doing well, growth in the inflation-adjusted income of most American families has stalled. Stagnating incomes have become a troubling fact of American life in the 1990s. The question is how to boost income growth and relieve the pocketbook pressures that millions of Americans experience.

Illustration: David Gehard

Issue at a Glance

Why is this a key issue in 1996?

For several generations, Americans assumed that economic growth would permit everyone to improve their economic circumstances, and that each generation would have a higher standard of living than the preceding one. Over the past 20 years, well-educated Americans at the high end of the income scale have fared well, but many families at the middle and bottom of the income scale have suffered real pocketbook pressures.

Sluggish income growth affects us fundamentally, as individuals and as a society. A majority of Americans, according to September 1994 survey conducted by Yankelovich Partners, are convinced things are getting worse for the middle class. Stagnating income threatens basic assumptions Americans have made about their country and themselves. The prospect that today's young adults may not achieve as high a standard of living as their parents' generation is distressingly real.

What has been happening to the economy?

How well the economy performs depends on how efficiently the work force turns out the goods it produces and the services it provides. Productivity growth has been slower in recent years than it was in the 1950s and 1960s, but it is growing. Between 1977 and 1992, the productivity of American businesses increased by more than 30 percent. But the income of a typical U.S. family today, adjusted for inflation, is just five percent higher than it was in 1973. Many Americans have been forced to work longer hours, or work at two or more jobs, to keep their income from declining. A July 1995 ABC/Washington Post poll found that more than half the respondents say they are working harder today but earning less.



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What are some possible solutions?



While there is general agreement that the rate of income growth for middle-class Americans has slowed down, people differ about how worrisome the trend is, why it has happened, and what should be done about it.

From a first perspective, the U.S. economy is a notable success story. Americans have a higher standard of living than any other nation. The key to higher wages and more jobs is faster economic growth, which can be achieved by unleashing the free market from burdensome regulations and taxes that stunt growth.

Advocates of a second perspective are convinced stagnating income is a result of new economic rules, such as tax policy, that favor high-income Americans. The overall economy is growing, but most workers – the people who produce goods and perform services – are not sharing in the gains. Economic justice requires measures to distribute income more fairly.

From a third perspective, income stagnation has resulted from a mismatch between the skills of the labor force and the jobs that are available. While unskilled workers are falling behind, those with higher education and marketable skills are doing well. The best way to boost income, from this perspective, is to help everyone – especially those who start at the lower end of the economic scale – acquire the education and training they need to succeed.

What are the underlying tensions?

Depending on their diagnosis of the problem, experts and leaders reach different conclusions about what government should do and what it should not do. An important question is whether government should focus chiefly on growing the economy, redistributing income, or expanding education and training opportunities. The first perspective says government should refrain from intervening in the free market – even if income stagnation persists. The second perspective says government should redistribute income in various ways, such as imposing higher taxes on wealthy Americans – even if such measures cause slower economic growth. The third perspective favors a serious effort to improve public education and expand job training programs for high school graduates – even if it requires higher taxes or cuts in other government programs.

Key Information

You don't need to be an expert or an economist to enter the discussion. But you do need to know a few facts, terms, and trends.

Key Trends

The rate of economic growth has slowed significantly since the 1960s when the gross national product increased at a rate of more than four percent per year. Recovery from the recession of the early 1990s has been slower than it was after previous economic downturns.

Americans are producing more per worker than ever. Since 1990, productivity gains have averaged almost two percent per year, which is roughly double the rate at which productivity increased during the 1980s.

Many Americans are uncertain about their economic prospects. The successful efforts of U.S. businesses to increase their competitiveness resulted in widespread layoffs and created a climate of greater job insecurity for many workers.

Income distribution appears to have shifted toward higher-income Americans. According to the Census Bureau and other sources, income differences between the wealthiest fifth of Americans and the poorest fifth are at their highest

level in 50 years. There is some disagreement about the interpretation of the data and whether this is likely to be a long-term trend. But a growing number of economic experts regard income distribution as a major problem.

The wealthiest Americans pay the largest share of federal taxes. Almost 80 percent of federal taxes are paid by the wealthiest quarter of taxpayers, even though the top federal tax rate is much lower today than it was a generation ago.

Education is a more important determinant of personal earnings than ever before. Higher education is an important predictor of economic success. According to a Commerce Department study on income trends since 1973, the only group whose income has increased is comprised of those individuals with at least a college education.



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Key Terms

Middle class There is no official definition of middle class. But many economists agree that it includes families in the \$25,000 - \$100,000 income range. By that definition, three out of five American families are middle class.

Productivity growth Productivity is the term economists use to describe how efficiently goods are manufactured and services are provided. Increasing productivity benefits employers because it enhances profits. It benefits workers since it permits higher wages. And since it brings down the price of products it benefits consumers. Rising productivity is the key to a higher standard of living.



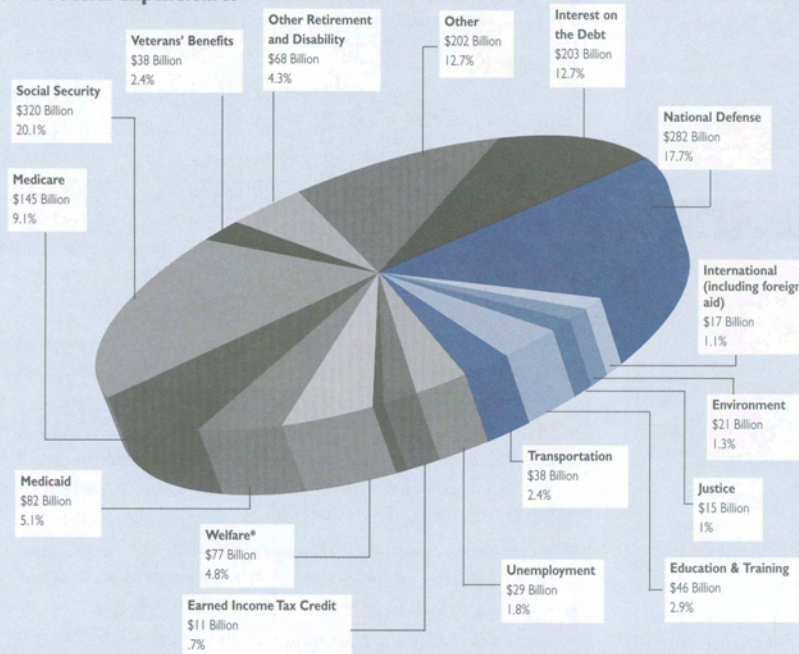
Ron Coppock/Gamma Liaison

What incentives are necessary as a spur to economic growth?

Income distribution The standard measure of income distribution is contained in the Census Bureau's annual report on family income. The report shows what percentage of the nation's total income in the preceding year was earned by five different slices of the population, ranging from the lowest to the highest incomes.

Income stagnation A situation in which family income does not rise from one year to the next, adjusted to reflect the fact that because of inflation the dollar is worth a little less each year than it was the year before.

1994 Federal Expenditures



*Welfare includes Aid to Families with Dependent Children, Food and Nutrition Assistance, and Housing Assistance
Source: Bureau of the United States Government, Fiscal Year 1996

Pocketbook Pressures

What Should Be Done about Them?

The National Issues Convention is nonpartisan, encouraging Americans to think about the nation's future in a fresh and productive way. These two pages present a "map" of one issue – income stagnation – and three possible directions for public policy. Each perspective reflects a distinctive set of values. It begins with a specific diagnosis of the problem and follows with its own prescription for public policy. These alternative perspectives are not necessarily mutually exclusive. The best solution may be to combine aspects of several approaches. In important respects, however, the prescriptions point in different directions, and choices need to be made among them.



Points to Consider

- How serious a problem is income stagnation? If this trend continues, what do you think the effects are likely to be?
- Which of these three strategies seems most likely to reverse the trend toward stagnating income?
- What values are most important to proponents of each choice? Which values are most important to you?

Costs and Tradeoffs

- Should government stay out of the free market EVEN IF income stagnation persists, despite overall growth in the economy?
- Should higher taxes be imposed on the wealthiest Americans to equalize income EVEN IF that leads to slower economic growth?
- Should a concerted public effort be made to improve public education for all children, and expand job training efforts for high school graduates, EVEN IF it requires higher taxes or cuts in other government programs?

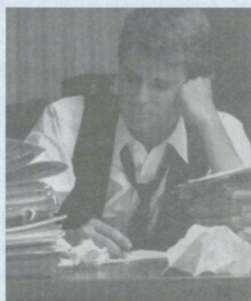
#1 The Free Market Position

Americans believe in rewarding effort, providing incentives for new economic ventures, and letting people get rich when they work at it. The best way to increase everyone's share is to make sure the economic pie keeps growing. The income of many Americans has stagnated because overall economic growth hasn't been sufficiently rapid since the 1970s. Government actions – including heavy taxation of savings and investments, tax hikes, over-regulation of business, and other policies that discourage investors and entrepreneurs – have been a serious obstacle to faster growth.

If government policies were changed to encourage economic growth and help businesses take advantage of recent technological advances, the United States should be able to achieve growth rates that rival those of the post-war period. Rapid economic growth will generate new jobs and higher wages and salaries for most Americans. The free market system, which has been notably successful in providing a high standard of living for millions of Americans, is the most promising way to achieve higher wages and a better standard of living over the next generation.

This Would Mean

- Lowering taxes, especially on savings and investment. With lower taxes, existing businesses would be encouraged to step up investment and entrepreneurs would have a greater incentive to start new ventures.
- Balancing the federal budget so government borrows less. That would make more funds available, at lower interest rates, to invest in new or expanding businesses. It would also encourage individuals to finance the purchase of homes or cars.
- Reducing unnecessary regulations to permit more freedom to those building or expanding economic enterprises.



High income earners average a 56-hour work week.

In Support

- The market-based system has provided a higher standard of living than any other economic system in history. Why tamper with success?
- Americans think about fairness in practical terms. If you stay in school and get advanced training, you deserve to earn more. It's fair for those who save and invest and work hard to make a profit.
- Without the prospect of substantial economic gains, people would have no incentive to lend money or put their time and energy in new investments that are the key to an expanding economic pie.

In Opposition

- Economic growth is meaningless to most Americans if family income doesn't increase as a result of economic expansion.
- It's unrealistic to promise growth rates that rival those of the post-war years. While it is desirable to take various measures to enhance economic growth, it is unlikely that the American economy can grow much faster than its current rate.
- Income inequality justified in the name of efficiency and incentives has become excessive and morally indefensible over the past two decades.
- Cutting taxes, slashing regulations, and getting government out of the way sounds appealing. But public expenditures on schools, training programs, and services to children are necessary if we're serious about making equal opportunity a reality.

2 The Fair Share Position

The fact that family income has stagnated is due in large part to economic rules that favor affluent Americans at the expense of everyone else. Top performers monopolize the pay and the prestige, and the rich get richer. But most of the labor force – the people who work the machines, provide services, clean offices, and keep the economy going day to day – are not sharing in the gains. According to the World Bank, income is more unevenly distributed in the United States than in any other wealthy industrial nation. While a certain amount of inequality is necessary as a spur to individual effort, excessive inequality is socially corrosive and morally wrong. Over the long run, extreme inequality will put the United States at a severe economic disadvantage. Sharp differences in income generate social unrest, which can lead to economic uncertainty, declining investment, and weak economic growth. For reasons of economic justice as well as economic efficiency, it is essential that the benefits of growth are shared so that all Americans move ahead together, as we did in the post-war period.

This Would Mean

- Making the tax structure more progressive (which is to say, taking more taxes from higher income Americans) in order to ensure that families that benefit the most from economic growth pay their fair share of the costs of government.
- Expanding government programs to help the poor, such as unemployment benefits and child care payments for low-income families.
- Expanding the Earned Income Tax Credit, which helps working families with low incomes.
- Raising the minimum wage, currently \$4.25, to help those at the low end of the income scale, and bolstering unions to raise the wages of ordinary workers.

In Support

- Since all workers contribute directly or indirectly to the growth of the economy, it is unfair that so few are moving ahead economically.
- Declining income on the part of millions of American families – particularly those with young children – has serious, corrosive effects on the nation's social welfare.
- The experience of other nations shows that it is possible to maintain a successful capitalist system while taking measures to keep inequality in check.



In Opposition

- In a free market system, wages are supposed to reflect the value a worker brings to the job. What's most important to Americans is not equal incomes but the freedom and opportunity to succeed based on one's own efforts.
- Because official reports overlook factors such as noncash benefits, unreported income, and government support, they give a misleadingly bleak picture of the standard of living of low-income Americans.
- The income gap is widening in every industrial nation because of worldwide trends which we cannot control. Unskilled labor is abundant and cheap, while highly trained workers are scarce.
- Efforts to redistribute income – through changes in the tax laws and assistance to the poor – dampen economic growth because they reduce the incentives to work hard and take risks.
- Income redistribution requires a more intrusive, expansive, and expensive government than most Americans are prepared to accept.

3 The Equal Opportunity Position

Income stagnation is a result of our failure as a nation to prepare people adequately so everyone has a chance to compete for good jobs. In today's labor market, job opportunities and pay increases occur mainly in highly skilled professional positions. Most youths don't have an opportunity to develop the skills they need to enter those positions. Millions of children from low- and middle-income families attend underfunded, second-rate schools. At the same time, the soaring cost of higher education has made college education prohibitively expensive.

The promise of America is equal opportunity, not equal outcomes. What's needed is a greatly expanded effort to improve America's schools, to provide equal opportunity for all youngsters regardless of their parents' income. Some insist educational reform does not require spending significantly more for the nation's schools. Other advocates of educational reform are convinced that a realistic effort to achieve equal opportunity will require spending substantial more public money.



Are poor children getting an equal education?

This Would Mean

- Expanding child nutrition programs and expanding Head Start.
- Equalizing funding for public schools so all children acquire the skills they need to succeed.
- Taking measures to subsidize the cost of higher education, so those from low- and middle-income families have an equal chance to complete a college degree.
- Expanding training and apprenticeship programs to propel more high school graduates into well-paid jobs.
- Reforming the schools through such measures as expanding school choice, to permit parents to send children to the schools where they will do best.

In Support

- The kind of equality we should be concerned about is whether everyone has an equal opportunity to succeed. The chief problem is that millions of American youths don't get anything like an equal start.
- Because of the soaring cost of higher education, more Americans from low- and moderate-income families are denied access to college – and thus shut out of the best-paying jobs and careers.
- As a nation, we waste a lot of talent by failing to train a large part of the workforce to its potential.

In Opposition

- This perspective overestimates how much of the nation's income inequality results from unequal educational opportunity. It underestimates the importance of intelligence and ambition.
- In the name of equalizing opportunity, various public initiatives are likely to be funded, at great cost, regardless of the likelihood of their success.
- More funds are unlikely to substantially improve the public schools. How funds are spent is more important than how many funds are available.
- No matter how skilled and educated the working population becomes, there will continue to be a large number of low-paying positions.

The Troubled American Family

Which Way Out of the Storm?

Of all their concerns, surveys suggest that Americans worry most about family matters. Money is the most common worry, but many people also fear that struggling families are unable to pass along basic social values to their children.

Many Americans see the lack of parental guidance lurking behind statistics on such



social ills as crime, teenage pregnancy, school failure, and welfare dependency. When surveys ask about the importance of family life, as the Wirthlin Group did in a poll released in January 1994, four out of five Americans strongly agreed that "Families stand at the center of our society. We can only go forward if families and family values

are strengthened." But whose values should inform that agenda? And what should government do, or refrain from doing, to help America's families?

Over the past year, several visions of family values and family policy have been put forward in Washington, and each contains a different answer to those questions. Before the nation's elected officials take action on a new round of measures to assist families, citizens need to consider the issue and decide what ought to be done.

Illustration: David Wink

Issue at a Glance

Why is this a key issue in 1996?

Americans are concerned that society is skidding out of control in a dust cloud raised, in part, by the family's declining ability to provide children with the guidance they need. Responding to this concern, government is reconsidering laws on many family issues, including abortion, parental accountability, welfare, sex education, and tax benefits for families. Decisions taken over the next few years will likely set the nation's course on family policy for many years to come.

Where do we go from here?

At the heart of the issue are fundamental questions about family life and the government's role. Americans need to ask themselves whether public policy should promote traditional values like marriage, sexual abstinence outside of marriage, and maternal child care at home in an effort to strengthen the family. Would we be better off as a society if public policy treated parents equally, regardless of whether they are single, married, divorced, or gay? In part, the discussion is about whether most parents can do the job by themselves, or whether they need new forms of public assistance and support.

What are some possible approaches to family policy?

This guide provides a framework for public discussion about family values. It presents three distinctive perspectives, each of which reflects widely held values.



Jane Scherr/Jeroboam

Raising children responsibly requires parents to make personal or career sacrifices.

One perspective emphasizes traditional family values, especially marriage – with a mother and father raising the children – that seemed to serve society so well several decades ago. Public policies, including taxation, would give preference to married couples and discourage divorce, illegitimacy, and single and gay parents. Schools would advocate sexual abstinence outside of marriage.

A second perspective promotes parental responsibility. It would make family planning and sex education a national priority, discouraging people who lack financial or emotional resources from becoming parents by accident. It would also strictly enforce existing laws that hold parents accountable for raising children.

A third perspective would expand societal responsibility for helping families raise children. Americans have helped elderly persons with various public programs, such as Social Security and Medicare. Now it's time to provide more public support for children and for their parents. Following the European model, the U.S. should have a comprehensive family policy which responds to children's needs for health care and day care and takes new measures to lift all children out of poverty.

What are the underlying tensions?

The first perspective calls for a return to traditional values, at a time when American society is becoming more diverse and is embracing more diverse values. A second perspective calls for people to take the decision to bear and raise children more seriously, at a time when many parents are already struggling to meet the demands of work and family life. A third perspective calls for expanded public efforts to help families, at a time when the a majority of Americans favor limiting government and restraining growth in public spending.

Key Information

You don't need to be an expert to make an important contribution to this discussion. But you do need to know a few facts, terms, and trends.



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Key Trends

More out-of-wedlock births The rate of out-of-wedlock births has more than tripled since 1960. Today, one child in four is born out of wedlock and nearly a third of these children are born to adolescents – who were, in two out of three cases, impregnated by older men in their 20s. In 1992, 39 percent of these births were to whites, 37 percent to blacks, and 21 percent to Hispanics.

More families are breaking up. The divorce rate has more than doubled since 1960. Today, four out of ten children experience the divorce or separation of their parents.

More families with children are poor. Nearly one in four children lived in poverty in 1993, up 45 percent since 1970.

More mothers work outside the home. In 1948, only 11 percent of married women with children under six worked outside the home; in 1991, 60 percent of these mothers worked outside the home. One of every three married, working women says she provides at least half of the family's income, according to a 1995 national survey by Louis Harris and Associates.

More laws hold parents accountable for their children's behavior. More than 30 states now permit courts to fine parents or require them to perform community service if their children misbehave by doing such things as bringing a gun to school, writing graffiti, or violating a curfew.

Key Terms

Child support Of the noncustodial fathers who have a legal obligation to pay child support, only 25.5 percent pay in full; 12 percent pay partially; and 62.5 pay nothing at all.

Unplanned pregnancies About 60 percent of all pregnancies occur to women who do not want to get pregnant, according to one study. Federal

funding for family planning declined by 72 percent, after adjusting for inflation, between 1980 and 1992.



Should schools distribute condoms?

Sex education Surveys indicate that sex education has become part of the public school curriculum in more than 40 states, including 33 that mandate instruction about AIDS and safe sex, and 17 that mandate sex education from kindergarten through 12th grade.

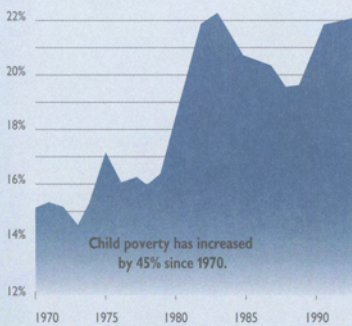
The workplace Most employees do not have access to flexible schedules, job sharing, or day care in the workplace. A 1994 study by the University of California at Berkeley found that four in 10 companies were not complying with the 1993 federal family leave law, which requires large employers to provide job security and up to 12 weeks of unpaid leave to parents with newborns.

Family assistance Most industrialized countries, unlike the U.S., provide families with programs such as paid parental leave at childbirth, children's health care, day care, and financial assistance, according to Sheila B. Kamerman and Alfred J. Kahn, social policy scholars at Columbia University.

More Stresses on Families and Society

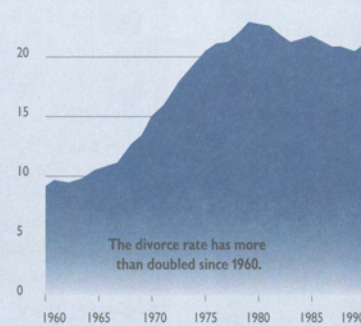
Child Poverty

Child Poverty Rates, 1970-1993



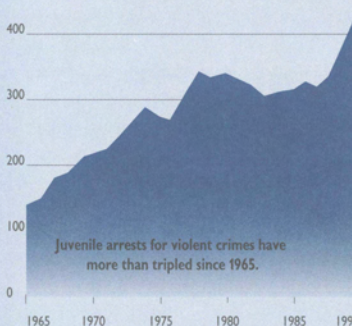
Divorce

Divorce Rate per 1,000 Married Women, 1960-1990



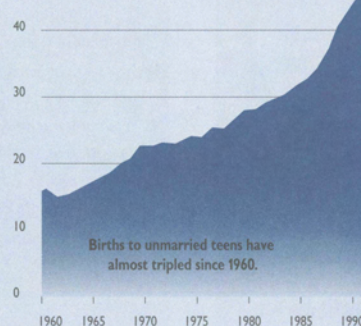
Juvenile Violent Crime

Arrests for Violent Crimes per 100,000 Juveniles, 1965-1990



Births to Unwed Teens

Births per 1,000 Teenage Girls, 1960-1992

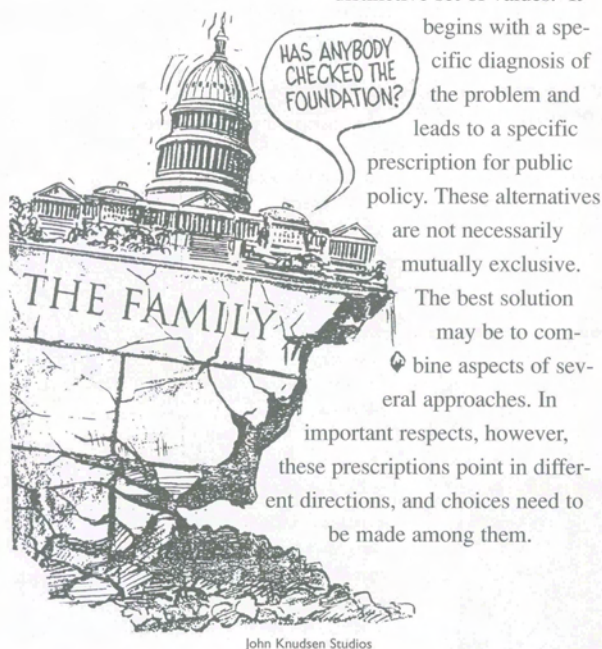


Sources: Child Poverty: U.S. Census Bureau; Divorce: National Center for Health Statistics; Juvenile Violent Crime: Federal Bureau of Investigation; Births to Unwed Teens: National Center for Health Statistics

The Troubled American Family

Which Way Out of the Storm?

The National Issues Convention is a nonpartisan enterprise which encourages Americans to think about the nation's future in a fresh and productive way. These two pages present a "map" of one issue – the troubled America family – and three possible directions for public policy. Each perspective reflects a distinctive set of values. It



John Knudsen Studios

begins with a specific diagnosis of the problem and leads to a specific prescription for public policy. These alternatives are not necessarily mutually exclusive. The best solution may be to combine aspects of several approaches. In important respects, however, these prescriptions point in different directions, and choices need to be made among them.

Points to Consider

- Should government policy reflect a single set of family values?
- Does society have a right to say who can have children and who cannot?
- Can we strike a balance between the competing values of helping families and demanding that they be self-reliant?

Costs and Tradeoffs

- Should government limit public support for unwed mothers **EVEN IF** this would harm children?
- Should government hold parents accountable for their children's behavior **EVEN IF** this means punishing some parents for their children's misdeeds?
- Should the U.S. provide new benefits and programs for families **EVEN IF** it means higher taxes for many Americans or cuts in other programs?



Eli Reed/Magnum

#1 Revive Traditional Values

This perspective is chiefly concerned with promoting traditional values, especially marriage. The 1960s sexual revolution which encouraged alternative lifestyles led, in this view, to a permissive society and spiraling social problems. Illegitimacy, divorce, and single-parenthood have become accepted and are spreading rapidly. Yet the rising rate of these alternative lifestyles is closely associated with the rising rates of such social ills as juvenile crime, welfare dependency, and school failure. To counter this negative trend, the nation needs to embrace traditional family values – not out of nostalgia, but because they worked. Government, business, and the media should support traditional values, which include the married, two-parent family with a mother at home to care for small children, if possible.

This Would Mean

- Government programs, as well as the nation's laws, would encourage traditional values. For example, government would provide tax incentives to help mothers stay at home with their children. Welfare programs that subsidize illegitimacy would be ended.
- States would uphold traditional values by repealing no-fault divorce laws that devalue marriage and harm children.
- Schools would teach that sex outside of marriage is wrong. Government would not subsidize abortion, which is immoral.
- Employers would do more to help mothers with small children work part-time or work at home.
- Government would step up efforts to keep the entertainment industry from glamorizing single parenthood, marital infidelity, and sexual promiscuity.



Stock Market

In Support

- Marriage is the glue of all civilizations, and family statistics suggest that marriage strengthens families' ability to raise socially responsible children.
- The U.S. experienced fewer social problems several decades ago, when more married couples stayed together for the sake of the children.
- Emphasizing traditional family values will stem the moral decline in America that is the basis of many of the nation's growing social problems.

In Opposition

- It's wrong to say that morals have declined, and simplistic to condemn the changes in family life that have occurred over the past generation. Divorce laws used to trap couples in loveless marriages, for example. Divorce isn't good for children, but neither is it good for children to witness parents who continually fight.
- Several decades ago, family life was stifling for many people, especially mothers who had few opportunities outside the home.
- This choice ignores the economic fact that most mothers must work to help support their families.
- Parents who love their children can be responsible parents no matter whether they are married, single, divorced, or gay.
- This choice ignores the overwhelming problem of poverty among families with children.

2 Promote Responsibility for Children

American families are struggling through a transitional period: there are more divorces; there are more non-traditional families; and more women work outside the home to advance their careers and support their families. Society's challenge is to make sure that children do not get lost in the shuffle. Public policy must expand sex education and family planning to make sure adolescents and adults do not stumble into parenthood accidentally and without the necessary financial and emotional resources. Society should also insist that parents – whether single, married, divorced or gay – live up to their responsibility to raise healthy children. Public agencies should do more to protect children from abuse and neglect.

This Would Mean

- Expanding sex education programs in schools and making family planning a national priority. Programs, including adoption and abortion services, would be publicly subsidized and made widely available.
- Public policies would hold parents strictly accountable for neglecting or abusing children. Failure to pay child support would be considered child neglect, and treated accordingly. Public agencies should be prepared to remove more neglected children from their homes and place them in foster care or, in rare cases, small group homes.
- States would change divorce and custody laws to emphasize the financial interests and well-being of children.

In Support

- About 40 percent of births are unplanned, and studies show that these children face a higher risk of neglect and a greater tendency to develop behavior problems. More family planning would mean more wanted children.
- Existing laws hold parents responsible for raising children; they must be enforced consistently to make parents realize that having a child is a long-term commitment.
- Government agencies must step in quickly to rescue children from abusive homes. Failure to do so is cruel to children and, in many cases, sets them up for a lifetime of failure.

In Opposition

- By emphasizing that parents must be financially able to rear children, this perspective would infringe on the right of poor people to have children.
- Making parents legally accountable for their children's actions violates the parents' civil rights. No one should be held legally responsible for another person's actions.
- If the U.S. set specific standards for parenting, government would not be able to enforce them fairly. Besides, public agencies are unable to care for a large number of neglected children.
- This perspective condones abortion, which is immoral. It also condones one-parent families, which are associated with many social problems.
- This perspective ignores the responsibility of society as a whole to help families raise children.



Family planning clinic

Yvonne Hemsey/Gamma Liaison

3 Expand Societal Responsibility

Society cannot turn the clock back to 1950s values. In a nation that is strongly committed to individual freedom, not much can be done to change sexual patterns, marriage bonds, or child-rearing behavior. The most important value, in this view, is that society helps people help themselves. The U.S. should recognize that society must share in the cost of raising children because society benefits when children become productive adults. The government must help all parents raise healthy children by subsidizing child care and health care, and by providing financial assistance. In the long run, preventive programs are the most effective and least costly. More than anything else, the American family suffers from societal neglect. America lags behind most other industrialized nations, which provide all families with child care, health care, and financial assistance when necessary. These countries have healthier children and fewer social problems.

This Would Mean

- Recognizing that children, like the elderly, require society's assistance. Government would provide all families with subsidized child care, preschool, health care, and paid parental leave when babies are born. Government would also provide financial assistance to needy families, lifting all children out of poverty. This investment in children is what most European nations have done for decades.
- As a first step, existing family support programs would be coordinated and expanded.
- Government would rescue many children from poverty by requiring employers to pay women the same wages men earn in similar jobs.
- Federal tax benefits for children, which have lost most of their value over the last 40 years, would be increased and pegged to inflation.

In Support

- A preventive approach is more effective and less costly than programs that try to cope with social problems as they arise.
- Unlike the United States, most industrial countries help to support families with programs such as paid parental leave at childbirth, children's health care, day care, and financial assistance for parents.
- More government help is needed as families change in response to economic pressure and cultural trends.

In Opposition

- This perspective would expand rights but not responsibilities. It would make social problems worse.
- Most Americans want to limit welfare, not expand it.
- This perspective encourages antifamily practices such as abortion, illegitimacy, and gay parenting.
- The cost of public programs advocated by this approach would be prohibitive.
- This perspective may be suitable for the European welfare states, but it is not appropriate in America, which values self-reliance and low taxes.



Working parents need child care.

Scott Willis/San Jose Mercury News

The NIC on National TV

The National Issues Convention will be broadcast as a 3-part special aired on PBS. The coverage is a major component of the Democracy Project, a unique PBS initiative offering a revitalized approach to news and public affairs programming, with an emphasis on election coverage. The programs, which culminate in a 1½ hour prime-time documentary aired on January 26, will be moderated by Jim Lehrer of *The NewsHour with Jim Lehrer*. Convention coverage will be produced by MacNeil/Lehrer Productions. Lester M. Crystal is executive producer of *The NewsHour*. Dan Werner, vice president of MacNeil/Lehrer Productions, is executive producer of the National Issues Convention broadcast.

The NIC coverage will air on PBS at the following times:

Saturday, January 20

8–11pm ET: Live coverage of citizens and Republican candidates

Sunday, January 21

10am–12 noon ET: Live coverage of citizens and Democratic candidate(s)

5–10pm ET: Rebroadcast

Friday, January 26

9–10:30pm ET: Documentary special

Times are subject to change; please consult local listings.



National Issues Convention

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The contents of this guide were reviewed for balance and accuracy by a distinguished bipartisan committee of former government officials and advisors.

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To Order

Magazine-length reports about each of the three issues addressed here have been prepared by Public Agenda, in collaboration with the Kettering Foundation. For information on ordering copies of these books – along with titles on immigration, crime, racial inequality, the public debt, contested values, health care, free speech, and other issues – contact the National Issues Forums Institute, 100 Commons Road, Dayton, Ohio 45459; (800) 433-7834.

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About the National Issues Convention

What is the National Issues Convention?

The four-day gathering will take place January 18–21, 1996, and will feature extensive dialogue between presidential candidates and informed citizens – live on national television. At the National Issues Convention (NIC), the 600 delegates will break into small discussion groups led by trained moderators, where they will study and discuss the issues.

Who will lead the discussion groups?

The small group discussions will be led by veteran moderators from the National Issues Forums, a nationwide network of locally-initiated forums convened in thousands of civic and nonpartisan educational organizations. For more information about the National Issues Forums call (800) 433-7834.

What is a deliberative poll?

The deliberative poll is different from ordinary polls, which offer only a snapshot of the current state of political opinion. Developed by Professor James Fishkin, the deliberative poll is designed to sample public opinion toward specific issues both before and after people have had the opportunity to learn about and discuss those issues. For more information on deliberative polling, see Professor Fishkin's book, *The Voice of the People* (Yale University Press, 1995).

Who is sponsoring the National Issues Convention?

The event is co-sponsored by the University of Texas at Austin and the nation's Presidential Libraries. Major funding and in-kind support are being provided by Freddie Mae (Federal Home Loan Mortgage Corporation), the Annie E. Casey Foundation, Southwestern Bell, American Airlines, the National Issues Forums, and the city of Austin. Television coverage is underwritten by the Public Broadcasting Service.

Issues '96: A Guide to Public Deliberation

Issues '96 was prepared by Public Agenda, a nonprofit, nonpartisan research and education organization based in New York City.

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